

Five: Survival of the Least Fit – Can Evolution Be Fooled by Randomness?

A case study on two rare events. On rare events and evolution. How “Darwinism” and evolution are concepts that are misunderstood in the non-biological world. Life is not continuous. How evolution will be fooled by randomness. A preparation to the problem of induction.

Six: Skewness and Asymmetry

We introduce the concept of skewness: why the terms “bull” and “bear” have limited meaning outside of zoology. A vicious child wrecks the structure of randomness. An introduction to the problem of epistemological opacity. The penultimate step before the problem of induction.

Seven: The Problem of Induction

On the chromodynamics of swans. Taking Solon’s warning into some philosophical territory. How Victor Niederhoffer taught me empiricism; I added deduction. Why it is not scientific to take science seriously. Soros promotes Popper. That bookstore on 21st and Fifth Avenue. Pascal’s wager.

Eight: Too Many Millionaires Next Door

Three illustrations of the survivorship bias. Why very few people should live on Park Avenue. The millionaire next door has very flimsy clothes. An overcrowding of experts.

Nine: It Is Easier To Buy and Sell Than Fry an Egg

Some technical extensions of the survivorship bias. On the distribution of “coincidences” in life. It is preferable to be lucky than competent (but you can be caught). The birthday paradox. More charlatans (and more journalists). How the researcher with work ethics can find just about anything in data. On dogs not barking.

Ten: Loser Takes All – On the Nonlinearities of Life

The nonlinear viciousness of life. Moving to Bel Air and acquiring the vices of the rich and famous. Why Microsoft’s Bill Gates may not be the best in his business (but please do not inform him of such a fact). Depriving donkeys of food.

Eleven: Randomness and Our Brain: We Are Probability Blind

On the difficulty of thinking of your vacation as a linear combination of Paris and the Bahamas. Nero Tulip may never ski in the Alps again. Some discussion of behavioral discoveries. Some manifestations of probability blindness taken out of a textbook. A little more on journalistic pollution. Why you may be dead by now.

Twelve: Gamblers’ Ticks and Pigeons in a Box

On gamblers’ ticks crowding up my life. Why bad taxi-cab English can help you make money. How I am the fool of all fools, except that I am aware of it. Dealing with my genetic unfitness. No boxes of chocolate under my trading desk.

Thirteen: Carneades Comes to Rome: On Probability and Skepticism

Cato the censor sends Carneades packing. Monsieur de Norpois does not remember his old opinions. Beware the scientist. Marrying ideas. The same Robert Merton helping the author start his firm. Science evolves from funeral to funeral.

Fourteen: Bacchus Abandons Antony

Montherlant’s death. Stoicism is not the stiff upper lip, but the illusion of victory of man against randomness. It is so easy to be heroic. Randomness and personal elegance.